Stock pitch · Systematic value portfolio, holding since June 2021

HP Inc

NYSE: HPQ · Information Technology · United States · Price $32.36 (29 Oct 2026, intraday)

OVERWEIGHT · medium conviction

A cash machine priced for decline: ~10x earnings and a ~10% free-cash-flow yield, with the memory-cost trough about to pass.

Noah Doose · 29 October 2026 · Student research for interview purposes, not investment advice. Not affiliated with, endorsed by or prepared for any firm.

Recommendation at a glance

	Stance	Conviction	Change
HP Inc (HPQ)	Overweight	Medium	Unchanged since Dec 2025 rebalance
Base-case value / share	$39	+21%	FCF $3.0bn at an 8.5% yield
Bull / bear	$49 / $26	+51% / -21%	see slide 9
Portfolio weight	2.0% (EW)	2.8% (MV)	within the 0.5-4% IPS range

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Source: own scenarios from HP FY26 guidance (8-K, 26 Aug 2026) and Massive quote (29 Oct 2026); portfolio: outputs/portfolio/

Investment case in three points

We like HP because the market prices its cash flows as if they will shrink forever, while the drivers of the 2026 squeeze are temporary.

1. Cheap on every lens. At the December 2025 rebalance HP ranked 2 of 128 technology stocks on our value score: EV/EBIT 7.0x vs 18.5x for hardware peers, P/FCF 6.0x vs 17.1x.

2. Cash is real and returned. FY2025 free cash flow was $2.9bn; 66% went back to shareholders. The FY2026 FCF guide was raised to $3.0-3.2bn in August, about a 10% yield on today's market value.

3. The squeeze is cyclical. Memory costs are expected to peak in Q4 FY26 and a $1bn cost plan runs to FY28: Personal Systems margins (4.6% in Q3) start from a trough.

Source: pipeline score and multiples at 31/12/2025 (last usable fiscal year, Bloomberg-derived); HP 8-Ks of 25 Nov 2025 and 26 Aug 2026

Exhibit 1 — Business: two engines, one in decline

Personal Systems (70% of revenue): $38.5bn in FY25 at a 5.3% margin. The Windows 10 end-of-support refresh lifted revenue +11% in Q1 and +18% in Q3 FY26, partly through memory-cost price increases.

Printing (30% of revenue, most of the profit): $16.7bn at an 18.7% margin. Supplies are recurring and high-margin; revenue declines ~2-4% a year as page volumes fall.

Balance sheet: net debt about $5bn (our calculation, July 2026); book equity is negative (−$92m) after a decade of buybacks — a capital-allocation choice, not distress.

Governance: CEO Enrique Lores left for PayPal in February 2026; Bruce Broussard is interim CEO, the search is ongoing (to verify).

Source: HP Inc 8-K Exh. 99.1 FY25 (25 Nov 2025) and Q3 FY26 (26 Aug 2026), SEC EDGAR; 10-Q Q3 FY26

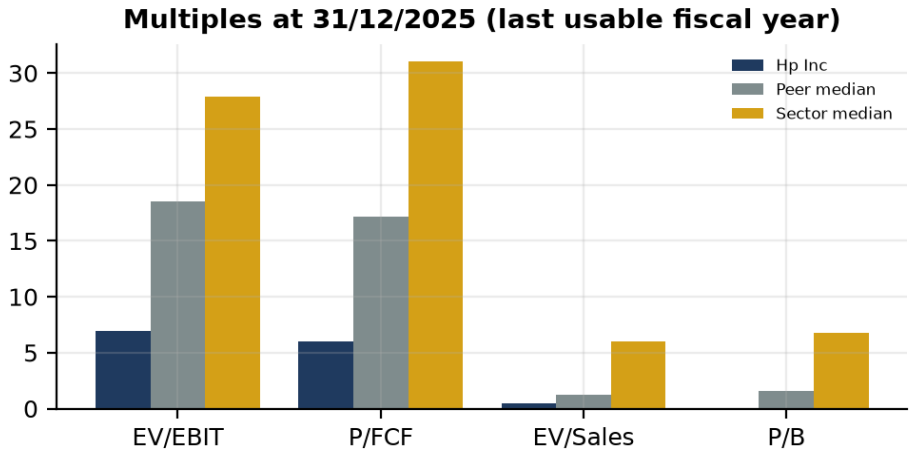
Exhibit 2 — Four-lens scorecard

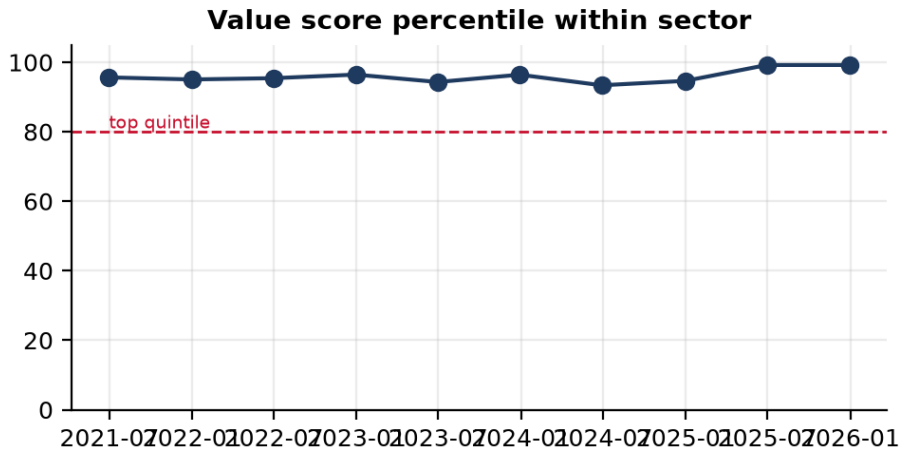
Lens	Reading	Signal
Fundamentals & cycle	PC refresh strong; printing −2%; memory cost peak expected Q4 FY26	Neutral → positive
Valuation	~10x forward EPS, ~10% FCF yield; EV/EBIT 7.0x vs peers 18.5x	Strongly positive
Capital returns	Dividend $1.20 (3.7% yield) + ~$1bn buybacks a year	Positive
Technicals & sentiment	Shares +45% YTD after a 2025 de-rating; interim CEO	Neutral

Reading: valuation carries the case; the cycle has stopped hurting; sentiment is no longer depressed, so upside now needs FY27 delivery rather than a simple re-rating.

Source: HP Q3 FY26 8-K; Massive quote page (29 Oct 2026); Futurum, Q2 FY26 review (May 2026)

Exhibit 3 — Valuation vs peers and our score





HP has been in the top quintile of its sector at every rebalance since June 2021; its score rose to 2.54 (sector percentile 99%) in December 2025.

Peers: Dell, HPE, Logitech, Canon. HP trades at less than half their EV/EBIT and P/FCF.

Part of the discount is deserved (printing decline, negative equity); the question is how much.

Source: pipeline (outputs/portfolio, pitches/assets/HPQ_US), multiples on last usable fiscal year at 31/12/2025

Exhibit 4 — Our earnings view vs guidance

FY2026 (Oct year-end)	Guidance (26 Aug 2026)	Our underlying view	Gap
Non-GAAP EPS	$3.19-3.29	$3.00-3.10	Excludes $0.19 one-off tariff refunds
Free cash flow	$3.0-3.2bn	$3.0bn	Refunds are cash; we treat them as one-off
FY2027 EPS direction	Not given until Nov 2026	Flat to up	Memory peak + $1bn cost plan vs PC pull-forward

Why it matters: the stock at ~$32 is ~10.5x our underlying EPS. The bear case needs FY27 EPS to fall once refunds drop out; the November FY27 guide is the test.

Consensus: forward consensus multiples to verify at the terminal (EE / RV).

Source: HP Q3 FY26 8-K (EPS guide incl. $0.19 tariff refunds); own estimates

Exhibit 5 — Catalysts (next 12-18 months)

~25 Nov 2026 — Q4 FY26 results and first FY27 outlook: EPS, FCF and memory-cost assumptions (date to verify).

H1 FY27 — margin recovery: management expects memory costs to peak in Q4 FY26 and Personal Systems margins to recover.

Permanent CEO: removes the strategic overhang; possible capital-allocation reset.

Cost programme: $1bn gross run-rate savings by end FY28, 4,000-6,000 roles; ~$250m charges in FY26.

Buybacks: ~4% of market value a year at the current pace.

Source: HP 8-Ks (25 Nov 2025, 26 Aug 2026); Futurum (May 2026); Earnings Whispers (report date)

Exhibit 6 — Valuation: what the price implies, and three scenarios

Reverse DCF: at an 8.5% cost of equity, a ~10% FCF yield implies FCF shrinking about 2% a year forever.

Scenario	Normalised FCF	Required FCF yield	Value / share	vs $32.36
Bear — printing decline accelerates, PC cycle rolls over	$2.3bn	10.0%	$26	-21%
Base — FY26 cash flow sustained, flat thereafter	$3.0bn	8.5%	$39	+21%
Bull — margin recovery + cost plan	$3.3bn	7.5%	$49	+51%

Cross-check: applying the hardware peer median EV/EBIT (19x) would imply far more; we do not use it — HP's mix deserves a discount. Equity value per share uses 901.8m shares.

Source: own calculations; shares and price: Massive (29 Oct 2026); peer multiple: pipeline at 31/12/2025

Exhibit 7 — Risks, and what would make us wrong

Printing erosion speeds up: a high-single-digit fall in supplies or a segment margin below 16% breaks the cash engine.

PC demand was pulled forward: FY27 units fall without price support after the Windows 10 refresh.

Memory costs keep rising: no Q4 FY26 peak keeps Personal Systems margins near 4-5%.

Leverage and payout: negative equity and ~$5bn net debt leave little room; a rating downgrade would hit buybacks.

We exit if: the FY27 FCF guide is below ~$2.5bn, the dividend or buyback is cut, or underlying EPS falls year on year once tariff refunds are excluded.

Source: HP 10-K FY25 risk factors (to verify in detail); own thesis triggers

Exhibit 8 — Place in the portfolio

2%	2.8%	+8.7%	+10.8%
weight, equal-weight portfolio	weight, minimum-variance portfolio	H1 2026 total return (EUR)	MSCI World Net EUR, same period

Held at all ten rebalances since June 2021: one of the most persistent names in the value book.

Role: a large-cap US technology holding that partly offsets the portfolio's 9-point technology underweight.

Currency: USD exposure hedged under the IPS rule (more than five USD lines).

Source: outputs/portfolio/weights_EW.csv, weights_MV.csv; backtest returns net of withholding tax (pipeline)

Sources

[1] HP Inc, 8-K Exh. 99.1, FY2025 results, 25 Nov 2025 — sec.gov/Archives/edgar/data/47217/000004721725000068 (accessed 29 Oct 2026)

[2] HP Inc, Form 10-K FY ended 31 Oct 2025, filed 10 Dec 2025 — sec.gov/Archives/edgar/data/47217/000004721725000071 (accessed 29 Oct 2026)

[3] HP Inc, 8-K Exh. 99.1, Q1 FY2026, 24 Feb 2026 — sec.gov/Archives/edgar/data/47217/000004721726000009 (accessed 29 Oct 2026)

[4] HP Inc, Form 10-Q quarter ended 31 Jul 2026 — sec.gov/Archives/edgar/data/0000047217/000004721726000051 (accessed 29 Oct 2026)

[5] HP Inc, 8-K Exh. 99.1, Q3 FY2026, 26 Aug 2026 — sec.gov/Archives/edgar/data/0000047217/000004721726000048 (accessed 29 Oct 2026)

[6] CEO transition coverage, 3 Feb 2026 — action-intell.com; crnasia.com (accessed 29 Oct 2026)

[7] investingLive and CNN on FY25 results and job cuts, 25 Nov 2025 (accessed 29 Oct 2026)

[8] Plante Moran, Supreme Court and IEEPA tariffs, Feb 2026 (accessed 29 Oct 2026)

[9] Futurum Group, HP Q2 FY2026 earnings review, May 2026 (accessed 29 Oct 2026)

[10] Massive, HPQ quote page, snapshot 29 Oct 2026 11:51 EDT (delayed) — massive.com/quote/hpq

[11] Earnings Whispers, HPQ earnings calendar (accessed 29 Oct 2026)

[12] Portfolio Project pipeline: value score, multiples (last usable fiscal year, Bloomberg-derived), weights and returns, as of 31/12/2025 and 30/06/2026

To verify at the terminal: 29 Oct close, consensus multiples (EE/RV), Q2 FY26 8-K, permanent CEO status.